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Securities and Exchange Board of India (SEBI)
Corporation Finance Department
Mumbai, Maharashtra

SEBI/HO/CFD/CMD/CIR/P/2026/89
Date: April 24, 2026

Subject: Mandatory Allocation for Social Stock Exchange (SSE) Instruments by Top 500 Listed Entities.

To further democratize social welfare funding and boost the ecosystem of the newly established Social Stock Exchange (SSE), SEBI, in coordination with the Ministry of Corporate Affairs, is introducing new capital deployment rules for eligible listed entities.

Currently, companies fulfill their Corporate Social Responsibility (CSR) obligations through various independent trusts or direct NGO partnerships.

Revised Framework:
a) Effective from the Financial Year 2026-27, all Top 500 listed entities (by market capitalization) must amend their Corporate Social Responsibility policies.
b) A mandatory minimum of 10% of the total annual CSR budget must be strictly deployed by purchasing Zero Coupon Zero Principal (ZCZP) instruments issued by Not-for-Profit Organizations (NPOs) registered on the Social Stock Exchange.
c) Internal CSR Committees must ensure that this 10% allocation is exclusively funneled through the SSE platform to ensure maximum transparency and audited social impact reporting.

Entities failing to reflect this mandatory 10% SSE allocation in their official CSR framework will have their annual CSR filings rejected by the Registrar of Companies.

(Signed)
Executive Director, SEBI
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